# Practice workbook · Is it capital or revenue expenditure?

Deciding for each cost, often around buying a vehicle, machine or building, whether it is capital or revenue spending, and totalling each group.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-REC-22

# 1. Question 12 · part whole · 5 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part whole only.

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**12** Identify, indicating with a tick (✓), whether **each** item represents capital expenditure or revenue expenditure when purchasing a motor vehicle for use in the business.

| | **Capital expenditure** | **Revenue expenditure** |
|---|---|---|
| Cost of motor vehicle | | |
| Delivery cost | | |
| Extended warranty | | |
| Fuel | | |
| Insurance | | |

**(Total for Question 12 = 5 marks)**

Working and answer

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## 2. Question 18 · part c · 4 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

**18** (a) Define the terms:

(i) other payables

(2)

(ii) other receivables.

(2)

Waseem is preparing his financial statements for the year ended 31 May 2018.

On 5 June 2018 he received an invoice, $960, for advertising covering the period 1 March 2018 to 31 October 2018.

(b) Calculate the amount to be added to the advertising account for the year ended 31 May 2018.

(2)

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## 2. Question 18 · part c · 4 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(c) Complete the table by indicating with a tick (✓) which transactions are revenue expenditure and which are capital expenditure.

(4)

| Transaction | Revenue expenditure | Capital expenditure |
|---|---|---|
| Factory roof repairs | | |
| Factory extension | | |
| Machinery installation | | |
| Machinery maintenance | | |

(d) Evaluate why it is important for a business to distinguish between revenue expenditure and capital expenditure.

(5)

**(Total for Question 18 = 15 marks)**

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## 2. Question 18 · part c · 4 marks · Working and answer

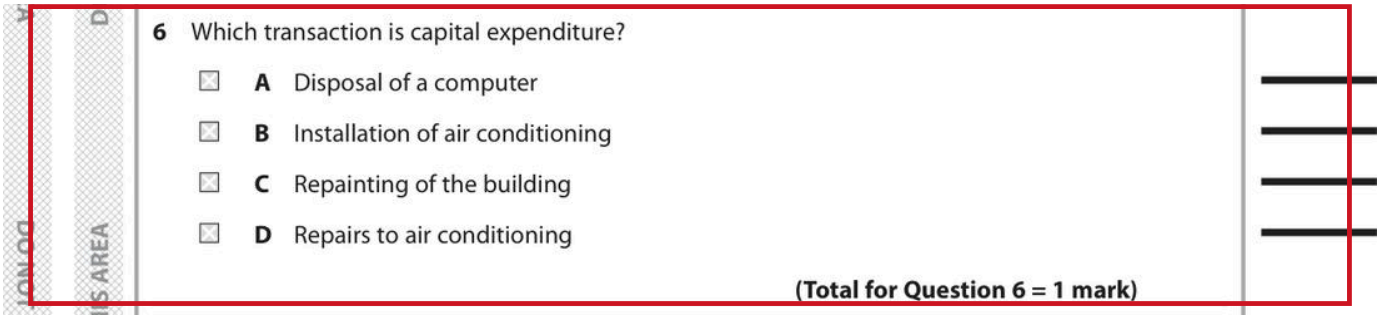
Working and answer

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## 3. Question 6 · part whole · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part whole only.



**6** Which transaction is capital expenditure?

- ☒ **A** Disposal of a computer
- ☒ **B** Installation of air conditioning
- ☒ **C** Repainting of the building
- ☒ **D** Repairs to air conditioning

**(Total for Question 6 = 1 mark)**

Working and answer

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## 4. Question 12 · part whole · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part whole only.

DO NOT WRITE IN THIS AREA

**12** Complete the table indicating with a tick (✓) whether **each** item is capital expenditure or revenue expenditure.

| | Capital expenditure | Revenue expenditure |
|---|---|---|
| Delivery costs of a new motor vehicle | | |
| Motor vehicle insurance | | |
| Installation costs of new machinery | | |
| Legal costs on purchase of business premises | | |
| Bank interest on loan to purchase business premises | | |

**(Total for Question 12 = 5 marks)**

Working and answer

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## 5. Question 12 · part whole · 5 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part whole only.

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**12** Complete the table, using a tick (✓), to indicate how **each** item would be classified when a new motor vehicle is purchased.

| Item | Capital expenditure | Revenue expenditure |
|---|---|---|
| Vehicle cost | | |
| Delivery cost | | |
| Insurance | | |
| Additional shelving | | |
| Fuel | | |

**(Total for Question 12 = 5 marks)**

Working and answer

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# 6. Question 18 · part b · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

**18** (a) State **two** benefits of using technology in accounting.

(2)

1 .....

.....

2 .....

.....

(b) Complete the table, indicating with a tick (✓) how **each** item would be classified when purchasing hardware.

(3)

| Item | Capital expenditure | Revenue expenditure |
|---|---|---|
| Installation cost | | |
| Delivery cost | | |
| Consumables | | |

A trader received a bank statement on 31 March 2020 showing a credit balance of $791. On the same date the cash book showed a debit balance of $1210.

The following had not been entered in the cash book:

- a standing order for insurance, $345
- bank interest received, $15
- a dishonoured cheque from Jones, $265

(c) Update the cash book showing the adjusted balance at 31 March 2020.

(4)

**Cash book – bank column**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

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## 6. Question 18 · part b · 3 marks · Working and answer

Working and answer

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## 7. Question 18 · part a · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part a only.

**18** (a) Identify, indicating with a tick (✓), how **each** would be classified.

(3)

| | Revenue expenditure | Capital expenditure |
|---|---|---|
| Machine delivery | | |
| Machine installation | | |
| Machine operatives' wages | | |

(b) Explain what distinguishes revenue expenditure from capital expenditure.

(5)

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## 7. Question 18 · part a · 3 marks · Working and answer

Working and answer

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## 8. Question 17 · part b · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

**17** (a) State **one** difference between capital expenditure and revenue expenditure.

**(2)**

.....

.....

(b) Identify, indicating with a tick (✓), how **each** item would be treated when a new motor van is purchased for use in the business.

**(3)**

| | Capital expenditure | Revenue expenditure |
|---|---|---|
| Installed shelving in van | | |
| Motor insurance | | |
| Signwriting on van | | |

Guy prepares his financial statements to 31 January.

On 1 February 2021, the balances on the motor vans accounts were:

Cost $146 000
Provision for depreciation $68 000

On 1 August 2021, Guy sold a motor van that he had purchased for $36 000 on 1 August 2019. He received a cheque for $25 000 in full settlement.

On 1 September 2021, Guy purchased a new motor van for $49 000 paid for by bank transfer.

Motor vans are depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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## 8. Question 17 · part b · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) Prepare the following accounts for the year ended 31 January 2022.

(10)

**Motor Vans - Cost Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

**Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
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**(Total for Question 17 = 15 marks)**

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## 8. Question 17 · part b · 3 marks · Working and answer

Working and answer

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## 9. Question 17 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

**17** (a) State **two** causes of depreciation.

**(2)**

1 .....

2 .....

(b) State **one** difference between capital expenditure and revenue expenditure.

**(2)**

.....

.....

(c) Identify, indicating with a tick (✓), how each would be classified when a new motor vehicle is purchased.

**(2)**

| | **Capital expenditure** | **Revenue expenditure** |
|---|---|---|
| Delivery cost | | |
| Motor insurance | | |

Tanet prepares his financial statements to 31 March and he provided the following information at 1 April 2021.

| | $ |
|---|---|
| Motor vehicles – cost | 68 000 |
| Motor vehicles – provision for depreciation | 18 240 |

On 30 June 2021, a motor vehicle purchased on 1 February 2019 costing $30 000 was sold for $16 400. The sale proceeds were received by credit transfer.

Tanet depreciates motor vehicles at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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## 9. Question 17 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

(d) Calculate the carrying value at 30 June 2021 of the motor vehicle that was sold.

(1)

.....

.....

(e) Prepare the provision for depreciation motor vehicles account for the year ended 31 March 2022. Balance the account on that date and bring the balance down on 1 April 2022.

(4)

**Provision for Depreciation - Motor Vehicles Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

(f) Prepare the disposal account.

(4)

**Disposal Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

**(Total for Question 17= 15 marks)**

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## 9. Question 17 · part c · 2 marks · Working and answer

Working and answer

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## 10. Question 18 · part a · 4 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

**18** (a) Identify, indicating with a tick (✓), how **each** item of expenditure would be classified.

**(4)**

| | Capital expenditure | Revenue expenditure |
|---|---|---|
| Purchase of inventory | | |
| Purchase of machinery | | |
| Installation of machinery | | |
| Machine operator wages | | |

(b) State in which financial statement **each** would be shown.

(i) Capital expenditure

**(1)**

.....

(ii) Revenue expenditure

**(1)**

.....

On 1 May 2020 Xavier purchased two machines.

Xavier depreciates machinery at 30% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Calculate the depreciation charge for **each** machine for **each** year.

**(4)**

| | Cost $ | Depreciation charge for the year ended 30 April 2021 $ | Depreciation charge for the year ended 30 April 2022 $ |
|---|---|---|---|
| Machine A | 28 000 | | |
| Machine B | 36 000 | | |

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## 10. Question 18 · part a · 4 marks · Working and answer

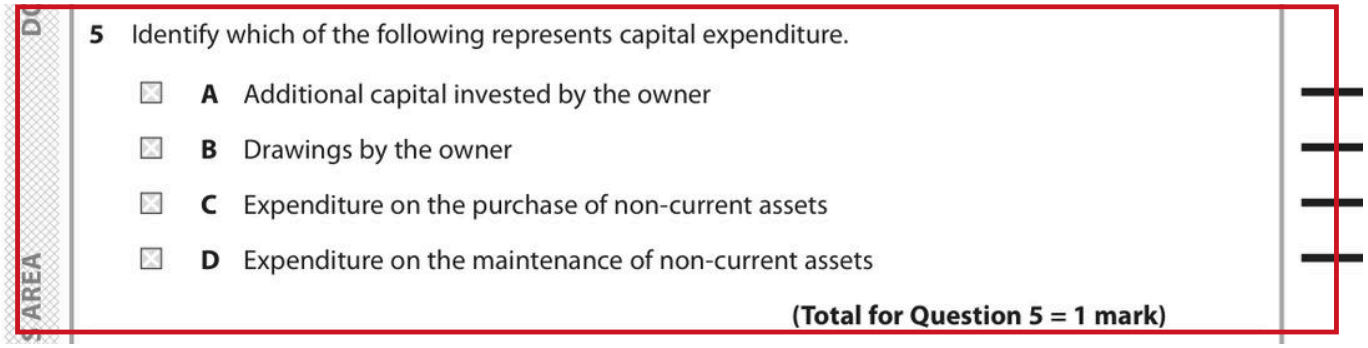
Working and answer

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## 11. Question 5 · part whole · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part whole only.



5 Identify which of the following represents capital expenditure.

☒ **A** Additional capital invested by the owner

☒ **B** Drawings by the owner

☒ **C** Expenditure on the purchase of non-current assets

☒ **D** Expenditure on the maintenance of non-current assets

**(Total for Question 5 = 1 mark)**

Working and answer

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## 12. Question 12 · part whole · 5 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

**12** Identify, indicating with a tick (✓), whether **each** item would be classified as capital expenditure or revenue expenditure.

| | Capital expenditure | Revenue expenditure |
|---|---|---|
| Purchase of new machinery | | |
| Machinery repairs | | |
| Legal fees paid for factory extension | | |
| Painting sign on new vehicle | | |
| Repainting sign on vehicle | | |

**(Total for Question 12 = 5 marks)**

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Working and answer

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## 13. Question 18 · part a · 4 marks

2025 JUN · Paper 01

Further practice · Attempt part a only.

**18** (a) Complete the table, indicating with a tick (✓) whether **each** is capital expenditure or revenue expenditure.

**(4)**

| | Capital expenditure | Revenue expenditure |
|---|---|---|
| Legal costs on purchase of business premises | | |
| Bank loan interest on purchase of business premises | | |
| Delivery cost of new machinery | | |
| Insurance of new machinery | | |

Shauna started her business on 1 January 2022, purchasing two machines at a cost of $8 000 each. She decided to depreciate machinery at 20% per annum using the straight line method, on a month-by-month basis.

On 30 June 2024, she sold one machine for $4 600, receiving the proceeds by bank transfer.

On 1 July 2024, she purchased a new machine for $10 400

(b) Calculate the balance of the machinery-cost account at 1 July 2024.

**(1)**

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## 13. Question 18 · part a · 4 marks · Working and answer

Working and answer

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## 14. Question 18 · part a.i · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part a.i only.

**18** On 1 July 2024, Javid installed a new IT system in his premises in order to meet the demand for online shopping.

This project incurred the following costs.

| | $ |
|---|---|
| Redesign of premises to accommodate the new servers | 20000 |
| Cost of computer network | 34000 |
| Installation costs of the computer equipment | 5000 |
| Five-year maintenance contract for the network | 3000 per annum |
| Training costs for IT staff on how to operate the network | 12000 |
| Training costs for delivery staff | 4500 |

(a) Calculate the **total amount** of:

(i) capital expenditure

**(5)**

(ii) revenue expenditure.

**(3)**

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## 14. Question 18 · part a.i · 5 marks · Working and answer

Working and answer

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# 15. Question 18 · part a.ii · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part a.ii only.

**18** On 1 July 2024, Javid installed a new IT system in his premises in order to meet the demand for online shopping.

This project incurred the following costs.

| | $ |
|---|---|
| Redesign of premises to accommodate the new servers | 20000 |
| Cost of computer network | 34000 |
| Installation costs of the computer equipment | 5000 |
| Five-year maintenance contract for the network | 3000 per annum |
| Training costs for IT staff on how to operate the network | 12000 |
| Training costs for delivery staff | 4500 |

(a) Calculate the **total amount** of:

(i) capital expenditure **(5)**

(ii) revenue expenditure. **(3)**

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## 15. Question 18 · part a.ii · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part a.ii only.

(iii) Explain your treatment of the cost of the redesign of the premises to accommodate the new servers.

**(2)**

(b) Explain the importance of the correct treatment of capital expenditure and revenue expenditure.

**(5)**

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**(Total for Question 18 = 15 marks)**

## 15. Question 18 · part a.ii · 3 marks · Working and answer

Working and answer

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## 16. Question 17 · part b.i · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.i only.

**17** (a) Explain each term:

(i) capital expenditure

**(2)**

(ii) revenue expenditure.

**(2)**

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## 16. Question 17 · part b.i · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.i only.

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Dominic prepares financial statements to 30 June each year.

On 1 July 2025 Dominic purchased a new motor van.

| | $ |
|---|---|
| Basic cost price | 45 000 |
| Delivery cost | 810 |
| Road fund licence | 360 |
| Insurance | 1 080 |
| Installation of shelving | 590 |
| Annual maintenance contract | 860 |

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(b) Calculate for the new motor van the total amount of:

(i) capital expenditure

(1)

(ii) revenue expenditure.

(1)

(iii) Identify, indicating with a tick (✓), the effect on gross profit if the total purchase cost of the new motor van was treated as revenue expenditure.

(1)

| | |
|---|---|
| Overstated | |
| Understated | |
| No effect | |

## 16. Question 17 · part b.i · 1 mark · Working and answer

Working and answer

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# 17. Question 17 · part b.ii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.ii only.

**17** (a) Explain each term:

(i) capital expenditure

**(2)**

(ii) revenue expenditure.

**(2)**

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# 17. Question 17 · part b.ii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.ii only.

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Dominic prepares financial statements to 30 June each year.

On 1 July 2025 Dominic purchased a new motor van.

| | $ |
|---|---|
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| Installation of shelving | 590 |
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(b) Calculate for the new motor van the total amount of:

(i) capital expenditure

(1)

(ii) revenue expenditure.

(1)

(iii) Identify, indicating with a tick (✓), the effect on gross profit if the total purchase cost of the new motor van was treated as revenue expenditure.

(1)

| | |
|---|---|
| Overstated | |
| Understated | |
| No effect | |

## 17. Question 17 · part b.ii · 1 mark · Working and answer

Working and answer

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